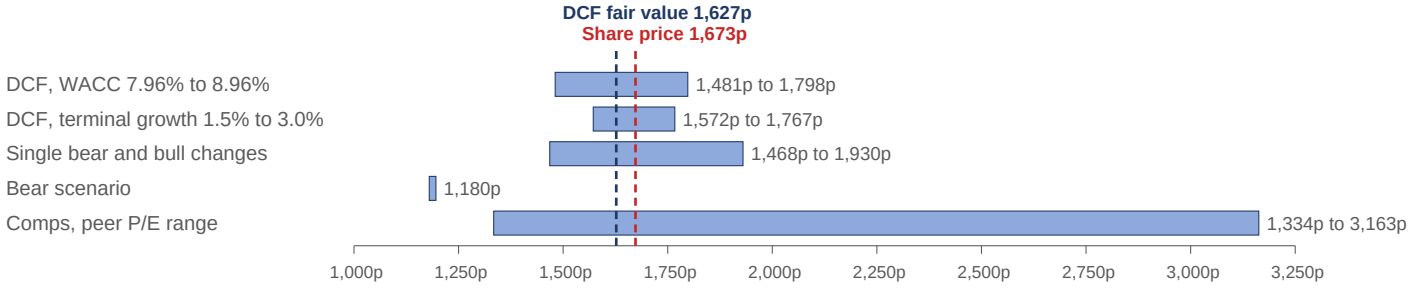
Diageo plc (LSE: DGE)

HOLD	Fair value 1,627p	Share price 1,673p (12 Oct 2026)	Upside -2.7%	Bear case 1,180p

Equity research memo, 13 October 2026. Rating from the desk's rule (BUY at +15% or more, SELL at -10% or worse), confirmed by the PM on 13 Oct 2026; no override. **SELL starts at 1,506p, 122p below fair value; BUY starts at 1,924p.** All per-share values are pence per ordinary share (GBp); the DCF is in USD.



Thesis

- **The price already assumes the recovery is delivered.** The DCF gives 1,627p (USD 21.54), 2.7% below the share price; the market is pricing a WACC of about 8.3% against our 8.46%. There is no margin of safety at the low end of guidance.
- **Self-help is the whole profit story.** Organic net sales fell 2.0% in FY26 and North America fell 8.4%. The c.USD 1,000m savings plan drives profit growth; we assume 46% of it reaches profit, the low end of FY27-29 guidance.
- **The balance sheet limits the upside.** Leverage is 3.14x against a 2.5-3.0x target and the dividend has been cut. Disposal proceeds (USD 3,318m gross) had not been received at 30 June 2026.

Valuation

DCF in USD m, valued at 30 June 2026 with mid-year discounting (cash arrives through the year: 61.7% of FY25 and 47.7% of FY26 free cash flow came in the first half), rolled forward to 12 Oct 2026 at the cost of equity, converted at USD 1.3234 per GBP.

- **Growth path:** base net sales USD 18,505.5m (excluding EABL); organic growth 0.0%, 1.5%, 2.5%, 3.0%, 3.0% (FY27-31), the low end of guidance.
- **Savings flow-through:** 46% of the cumulative savings (USD 377.5m, 962.5m, then 1,000m) reaches operating profit.
- **WACC 8.46%:** risk-free 5.22%, beta 0.96 (industry bottom-up), ERP 5.0%, cost of equity 10.02%; pre-tax cost of debt 6.22% (risk-free + 1%); debt weight 29.4%.
- **Terminal:** growth 2.0%; terminal capex 6.21% of sales, so new investment earns Diageo's FY26 ROIC of 13.4%.
- **Minorities:** outside shareholders' share of operating profit ex-EABL (2.566%) x EV = USD 1,562m.

Bridge (USD m): EV 60,870 - net debt 20,482 - minorities 1,562 - restructuring cash 850 + associates 5,284 + disposal proceeds 3,318 = equity 46,579 at 30 June; 47,851 at 12 Oct; 2,222m shares = **1,627p**. Terminal value is 74.9% of EV; exit multiple 9.2x FY31 EBITDA. The bear scenario (no growth, 25% flow-through, WACC +1 point) gives 1,180p (-29.5%, SELL). Comps: median P/E 18.5x on four peers implies 2,311p, but on P/E only, with two peers press-sourced, so little weight.

Value per share (p)	g 1.5%	g 2.0%	g 2.5%	g 3.0%
WACC 7.46%	1,909	2,001	2,112	2,246
WACC 7.96%	1,727	1,798	1,882	1,982
WACC 8.46%	1,572	**1,627**	1,692	1,767
WACC 8.96%	1,437	1,481	1,530	1,588
WACC 9.46%	1,320	1,354	1,392	1,436

Fundamentals

- **Growth has stalled:** organic growth was 6.5% (FY23), -0.6%, 1.7% and -2.0% (FY26). Africa (13.3%) and Latin America & Caribbean (7.7%) grew.
- **Margins compressed:** operating margin before exceptionals fell from 31.1% (FY22) to 28.9% (FY26).

- **Cash improved:** free cash flow rose from USD 2,235m (FY23) to USD 3,211m (FY26), helped by lower capex (6.1% of sales in FY26).
- **Returns fell:** ROIC went from 18.4% (FY23) to 13.4% (FY26); interest cover fell from 13.6x (FY22) to 7.0x (FY26).

Risks

- **Beta:** we use 0.96 (bottom-up), above all six regressions of Diageo's own shares (0.37 to 0.77). Beta is the largest lever: 0.72 gives 1,930p (BUY by 6p); SELL needs a beta above 1.078.
- **Volatility:** 31.6% (1 year) vs 12.5% for the FTSE 100.
- **Drawdown:** maximum -66.8%, from 4,098p (4 Jan 2022) to 1,362p (24 Mar 2026).
- **Leverage:** 3.14x adjusted net borrowings / adjusted EBITDA vs a 2.5-3.0x target; about 2.6x after the disposal proceeds, before tax on them.

Bear case and our response

Three of the eleven single bear changes flip the rating to SELL (below 1,506p); one bull change (beta 0.72) reaches BUY.

1. **Flow-through: history says most savings are reinvested.** 33% (Diageo's 2017 "two thirds reinvested" rule) gives 1,584p and 25% gives 1,558p, both HOLD; SELL needs 9.1%. **Response:** 46% is the low end of FY27-29 profit guidance. We will check it against FY27 interim margins.

2. **Terminal returns: ROIC fell 5 points in three years.** RONIC 10.8% gives 1,562p (HOLD); RONIC equal to WACC gives 1,468p (SELL). **Response:** 13.4% is Diageo's lowest ROIC in four years, not a recovery, and FY26 capex (6.1% of sales) is already close to the 6.21% the rule implies.

3. **No recovery: management missed both of its 2023-26 incentive targets** (organic sales and operating profit growth). Zero organic growth gives 1,491p (SELL). **Response:** the path is already the low end of guidance (0% in FY27); zero growth for five years means North America never recovers, which is our bear scenario, not the base.

4. **Terminal growth 2% vs falling spirits volumes.** 1.5% gives 1,572p (HOLD). **Response:** with 2.35% breakeven inflation, 2% nominal growth already means a small real decline; the IWSR figures are secondhand.

5. **Cost of capital.** A 2.0% credit spread gives 1,559p and beta 1.00 gives 1,585p, both HOLD. **Response:** our 1% spread is already about the BBB average (1.02%, vs 0.69% for A-rated bonds) for an A-band company.

6. **USL minority at market.** USL's outside stake at market (USD 4,450m) plus other minorities at book (USD 1,328m) gives 1,480p (SELL). **Response:** an upper bound: it prices USL's minority at market but Diageo's own 57.21% at the DCF multiple, and the USD 1,328m still includes EABL's 35%.

PM view: HOLD (final). Fair value is within the HOLD band under both discounting conventions (1,627p mid-year, 1,545p year-end), and the market-implied WACC (8.3%) is close to ours (8.46%), so the price is near fair value. The cases that flip the rating to SELL are structural (no recovery, returns falling to the cost of capital). The only route to BUY is a beta of 0.72 with an R-squared of 0.15 (95% range 0.51 to 0.93), too weak to override the industry beta. Comps (2,311p) point higher but rest on P/E alone. Restructuring tax relief would add 7p.

Sources

- Diageo Form 20-F FY26 (SEC accession 0001628280-26-057529): financial statements, p.18, p.22, p.85, p.110, p.164, p.186-189, p.210-211, regional reviews pp.27-31; 20-F FY22-FY25 (SEC EDGAR XBRL).
- Diageo interim results 6-Ks: FY26 (25 Feb 2026, accession 0001654954-26-001518) and FY25 (accession 0001654954-25-001149): first-half free cash flow.
- Diageo Capital Markets Day 6-K, 6 Aug 2026 (SEC accession 0001654954-26-007324): savings plan, guidance, restructuring cash.
- FRED: DGS10 (2026-10-08), DEXUSUK (2026-10-02), T10YIE breakeven inflation and ICE BofA A, BBB and high-yield option-adjusted spreads (2026-10-08).
- Yahoo Finance (DGE.L in pence, FTSE 100, peer prices, USL price and shares, KES/USD, INR/USD); Damodaran Online, Betas by Sector (Global), January 2026.
- Non-filing: EABL FY26 results, RCB sale, Pernod Ricard, Campari and Remy Cointreau results, IWSR (press/company). PM decisions: briefs/DGE.yaml; evidence packs in docs/phase3/ and docs/phase4/. Agent outputs: runs/DGE/2026-10-12/.